

CAPITAL OUTLAY FUND

Effective July 1, 2018

Version 1.0



Guidelines & Resolution for Tax Levy

The board of education of any school district may make an annual tax levy at a mill rate not to exceed the statutorily prescribed mill rate upon the assessed taxable tangible property in such school district for the purposes specified in this act. No levy shall be made under this act until a resolution is adopted by such board of education in the form shown below.

The resolution shall be published once a week (on the **same day of the week**) for **two consecutive weeks** in a newspaper having general circulation in the school district.

NOTE: This Resolution can be published as it appears, except that the form number should be deleted and the following added at the very beginning of publication:

First published in the _____

(name of paper)

(date)

0-212-102

Rev. July 2018

Resolution to Levy Tax for Capital Outlay Fund

Unified School District No. _____, _____ County, State of Kansas,

RESOLUTION

Be It Resolved that:

The above-named school board shall be authorized to make an annual tax levy in an amount not to exceed _____ mills upon the taxable tangible property in the school district for the purpose of acquisition, construction, reconstruction, repair, remodeling, additions to, furnishing, maintaining and equipping of school district property and equipment necessary for school district purposes, including: (1) Computer software; (2) performance uniforms; (3) housing and boarding pupils enrolled in an area vocational school operated under the board; (4) architectural expenses; (5) building sites; (6) undertaking and maintenance of asbestos control projects; (7) school buses and (8) other fixed assets, and with respect to any redevelopment district established prior to July 1, 2017, pursuant to K.S.A. 12-1771, and amendments thereto, for the purpose of paying a portion of the principal and interest on bonds issued by cities under the authority of K.S.A. 12-1774, and amendments thereto, for the financing of redevelopment projects upon property located within the school district. The tax levy authorized by this resolution may be made, unless a petition in opposition to the same, signed by not less than 10% of the qualified electors of the school district, is filed with the county election officer of the home county of the school district within 40 calendar days after the last publication of this resolution. In the event a petition is filed, the county election officer shall submit the question of whether the tax levy shall be authorized to the electors in the school district at an election called for that purpose or at the next general election, as is specified by the board of education of the above school district.

CERTIFICATE

THIS IS TO CERTIFY that the above Resolution was duly adopted by the Board of Education of Unified School District No. _____, _____ County, Kansas, on the _____ day of _____, 20____.

Clerk of the above Board of Education



PREPARING THE RESOLUTION FOR PUBLICATION

The following information is contained in K.S.A. 72-53,113:

1. The blank preceding the word 'mills' shall be filled with a specific number.
2. The resolution shall be published once a week (on the **same day of the week**) for **two consecutive weeks** in a newspaper having general circulation in the school district.

NOTE: For resolutions adopted after July 1, 2005, *the maximum mill levy limit is 8 mills.*

ADDITIONAL GUIDELINES

1. There is hereby established in every school district of the state a fund which shall be called the "capital outlay fund." The capital outlay fund shall consist of all moneys deposited therein or transferred thereto in accordance with law. The proceeds of any tax levied under article 53 of chapter 72 of Kansas Statutes Annotated, except for an amount to pay a portion of the principal and interest on bonds issued by cities under the authority of K.S.A. 12-1774, and amendments thereto, for financing of redevelopment projects upon property located within the school district, shall be deposited in the capital outlay fund of the school district making such levy. (K.S.A. 72-53,115)
2. All expenditures attributable to capital outlay shall be paid from the capital outlay fund except any district may make capital outlay expenditures from its general fund for acquisition of equipment and repair of school buildings. Another exception is allowed under law to purchase certain equipment from specific funds. Example: Equipment for approved vocational education programs may be purchased from the vocational education fund.
3. The following expenditures may be paid from the capital outlay fund: acquisition, construction, reconstruction, repair, remodeling, additions to furnishing, maintaining and equipping of school district property and equipment necessary for school district purposes, including (1) computer software; (2) performance uniforms; (3) housing and boarding pupils enrolled in an area vocational school operated under the board of education; (4) architectural expenses; (5) building sites; (6) undertaking and maintenance of asbestos control projects; (7) school buses; and (8) other fixed assets, and with respect to any redevelopment district established prior to July 1, 2017, pursuant to K.S.A. 72-1774, and amendments thereto, for the financing of redevelopment projects upon property located within the school district. (K.S.A. 72-53,113)
4. The *maximum* mill rate limit has been set at eight (8) mills and is determined by the local board of education based upon the successful passage of a resolution and election, if protested. *Can a lower mill rate be assessed?* Yes, the resolution merely gives the board the authority to adopt a capital outlay mill rate. The decision about how much to levy is made each year. The rate may increase or decrease, as long as it does not exceed the amount specified in the resolution.
5. When a new Capital Outlay Resolution is adopted, the former resolution is null and void. The resolution is continuous and permanent, and the most recent adopted resolution will be the district's taxing authority.
6. The district office shall retain a record of the Capital Outlay Resolution as it was published in the newspaper. KSDE does not need a copy of the resolution. Every year, the district will report on the USD budget ("Open" page) the date the capital outlay resolution was authorized and number of mills levied. The county clerk will receive this information as well when you submit the USD budget document.



7. In order for a new resolution to be ready and effective for the upcoming budget year, the following has to occur **no later than** August 25:
- The board meets to authorize a new Capital Outlay Resolution. The resolution form is published two consecutive weeks (same day of the week) in the newspaper and if a protest petition is not filed within 40 calendar days after the last publication of the resolution, it becomes effective when the board meets to adopt the budget (by August 25).
 - If a protest petition signed by 10% of the qualified electors is filed with the county election officer of the home county within 40 calendar days after the last publication date, the county election officer shall submit the question of whether the tax levy shall be authorized to the electors in the school district at an election called for that purpose or at the next general election.
 - If the steps to adopt a new Capital Outlay Resolution outlined above are completed *after* the August 25 deadline, the new resolution would not become effective until July 1 of the following school year.
 - If a new resolution is protested and does not pass, the old resolution will remain in effect, but you are not allowed the new spending authority until a new resolution is passed.
8. Listed below is the table which shows potential revenue that may/shall be deposited in the capital outlay fund. When filing reports with the State of Kansas and the State Department of Education, all revenue should be identified in the following categories:

<u>Potential source of revenue</u>		<u>Legal fund the revenue may be deposited in</u>
<u>LOCAL</u>	<u>Ad Valorem Property Tax</u>	<u>Capital Outlay Fund</u>
	<u>Interest on Idle Funds (Permissive)</u>	<u>Capital Outlay Fund</u>
	<u>Transfer from General Fund (no limit)</u>	<u>Capital Outlay Fund</u>
	<u>Miscellaneous Revenue (Permissive)</u>	<u>Capital Outlay Fund</u>
	<u>* Reimbursements</u>	<u>Capital Outlay Fund</u>
<u>COUNTY</u>	<u>Motor Vehicle Property Tax (if levy is made)</u>	<u>Capital Outlay Fund</u>
	<u>Motor Vehicle 16/20M Truck Property Tax (if levy is made)</u>	<u>Capital Outlay Fund</u>
	<u>Recreational Vehicle Tax (if levy is made)</u>	<u>Capital Outlay Fund</u>
	<u>In Lieu of Tax Payments from Industrial Revenue Bonds (if levy is made)</u>	<u>Capital Outlay Fund</u>
<u>STATE</u>	<u>Capital Outlay State Aid</u>	<u>Capital Outlay Fund</u>
<u>FEDERAL</u>	<u>Impact Aid – Construction</u>	<u>Capital Outlay Fund</u>

*** REIMBURSEMENTS** - Includes those revenues which are received for materials and supplies purchased by students which were paid out of this fund. This would also include reimbursement for items such as insurance premium payments if the cost(s) were paid from that fund.

If monies are received after the close of a fiscal year for an expense that was paid in a previous year, then the money is considered miscellaneous revenue under K.S.A. 72-5166 and is placed in one of the special funds authorized by that law.



ELIGIBLE EXPENDITURES

It is our opinion that, subject to the conditions note in certain instances, all of the following items could properly be charged against the capital outlay fund:

- o Architectural fee (incidental to construction)
- o Athletic field expansion
- o Boilers – replacement
- o Building (Quonset) for athletic games, etc.
- o Buses (school buses, athletic buses)
- o Fire extinguishers
- o File cabinets
- o Furniture
- o Globes
- o Improvement to sites
- o Insurance deductibles
- o Lighting athletic fields and school grounds
- o Mowers
- o Musical instruments
- o Parking lot
- o Projectors and screens
- o Remodeling kitchens & eating facilities
- o Cleaning and painting (attributable to new construction and remodeling)
- o Science & laboratory equipment
- o Score board
- o Television equipment
- o Tractors

Districts adopting a Capital Outlay Resolution **after May 1, 2014**, can also charge the following items to the Capital Outlay fund:

- o Computer software, operating system upgrades, maintenance
- o Filters (air, fuel)
- o Repairs to equipment
- o Repairs to vehicles
- o Tires
- o Salaries and benefits for maintenance of district property and equipment (includes custodians, bus mechanics, and others)
- o Acquisition and maintenance of uniforms: Band, Pep Band, Athletic, Theatrical, etc.
- o Upkeep of grounds, streets

Other eligible expenditures (with exceptions):

- o Athletic equipment:
Yes - Substantial items of gymnasium equipment, such as parallel bars, horses, tumbling mats, etc.
No - "Supplies" such as balls, bats, etc.
- o Computer equipment:
Yes – hardware, software, operating system upgrades, leasing of computers/software, maintenance
- o Lease of school facilities
- o Library books:
Yes - Books purchased in order to establish a school library
No - Books purchased for replacement purposes, or as part of a continuing supply-resupply program
- o Mathematics laboratory:
Yes - Machines and major equipment
No - Miscellaneous "supplies" such as paper, pencils, chalk, etc.



INELIGIBLE EXPENDITURES

The following items would not be proper expenditures from a capital outlay fund:

- Athletic "supplies" such as balls, bats, etc.
- Cleaning supplies
- Contracted services – consultants
- DVDs
- Instructional charts
- Insurance premiums
- Fuel
- Maps
- Music
- Publications
- Supplies for professional services
- Special assessment for paving and sewer
- Textbooks
- Toiletries
- Utilities (electricity, gas, etc.)
- Videos

Below are criteria for defining **supplies** and **equipment** from the **Kansas Accounting Handbook**

Link: <http://www.ksde.org/Agency/FiscalandAdministrativeServices/SchoolFinance/GuidelinesandManuals.aspx>

Criteria for Supply Items:

A supply item is any article or material which meets any one or more of the following conditions:

1. It is consumed.
2. It loses its original shape or appearance with use.
3. It is expendable, that is, if the article is damaged or some of its parts are lost or worn out, it is usually more feasible to replace it with an entirely new unit rather than repair it.
4. It is an inexpensive item, having characteristics of equipment, whose small unit cost makes it inadvisable to capitalize the item.
5. It loses its identity through incorporation into a different or more complex unit or substance.

Criteria for Equipment Needs:

1. It retains its original shape and appearance with use.
2. It is non-expendable, that is, if the article is damaged or some of its parts are lost or worn out, it is usually more feasible to repair it rather than replace it with an entirely new unit.
3. It represents an investment of money which makes it feasible and advisable to capitalize the item.
4. It does not lose its identity through incorporation into a different or more complex unit or substance.

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Revision History

<u>Date</u>	<u>Reason for Changes</u>	<u>Version</u>
<u>7/1/18</u>	<u>Effective July 1, 2018, Sub for Senate Bill 423 (passed in 2018) amended the law where districts may no longer charge the following items to the Capital Outlay Fund: (1) utility expenses (electricity, gas, etc.) and (2) property and casualty insurance. These expenditures were allowable between July 1, 2017 through June 30, 2018.</u>	<u>1.0</u>
<u>7/1/18</u>	<u>Recodification of Chapter 72 of the Kansas Statutes Annotated, Schools – Effective Dec. 21, 2017</u> <u>The Kansas Office of Revisor of Statutes recodified statutory sections of Chapter 72 for the purpose of providing clarity and uniformity with subject matter related to elementary and secondary education. In some cases, the subject matter of the section required transfer to another chapter, such as Chapter 13 or Chapter 74. A table of the transferred sections and their newly assigned section numbers can be found at this website: http://www.ksrevisor.org</u> <u>All statutes in this guide have been revised to reflect the new section numbers.</u>	<u>1.0</u>

For more information, call
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October 2024

BARRIADE INVESTMENT (PVT) LTD
versus
TENDAI MASHAMHANDA

HIGH COURT OF ZIMBABWE
TAKUVA J
HARARE, 23 October & 29 November 2023

Opposed Application

T M Maparanga with Sadomba, for the applicant
K Rangarirai, for the respondent

TAKUVA J: — This application is for an order under the *rei vindicatio* remedy to recover possession and control of property. Put differently, the applicant seeks respondent’s eviction from the property known as THE REMAINDER of SUBDIVISION C OF LOT 6 OF LOTS 190, 191, 193, 194 AND 195 HIGHLANDS ESTATE OF WELMOED also known as 41 RIDGEWAY NORTH HIGHLANDS, HARARE “the property.”

BACKGROUND

Applicant purchased the property at a judicial auction conducted by the Sheriff of this court in September 2017. The property was transferred to the applicant on 5 May 2022. It is not in dispute that the respondent is in occupation of the property. This was after the property had been fraudulently sold to him by the previous owner Piwayi Chiutsi. In a judgment handed down on 16 February 2022 in *Barriade Investments (Pvt) Ltd v Chiutsi & Ors* SC 24/22 the Supreme Court directed that title be registered in applicant’s name. The judgment is extant and title has indeed been registered in applicant’s name — as a result, it is not in dispute that the applicant is the owner of the property.

The respondent herein was the second respondent in the Supreme Court matter cited above. The Supreme Court found that he was not an innocent purchaser of the property and that his title was invalid and should be cancelled with the applicant taking title. In spite of the fact that the ownership dispute has been resolved, the respondent has refused, failed and or neglected to vacate the property.



The application is opposed on the following three (3) grounds:

~~“1. The pending constitutional application in the Constitutional Court by the respondent ultimately seeking the setting aside the Supreme Court judgment upon which the applicant is relying for its title to the property in question suspends the aforesaid Supreme Court judgment.
2. There are pending criminal proceedings raising fraud allegations impacting on the applicant’s title to the property. If the fraud allegations are established the applicant will lose any claim it may have to the property while the respondent’s claim to the title would be vindicated. Until the fraud allegations are determined the applicant can not evict the respondent.
3. In view of the history of the dispute relating to the [property and the respondent having effected massive improvements to it, raising the value thereof by about US\$ 1 500 000, the respondent has an interest in the property under s 71(1) of the Constitution of Zimbabwe. The respondent’s aforesaid “interest” is itself “property” within the contemplation of s 71 of the Constitution. In seeking to evict the respondent without compensating him for the USD\$ 1 500 000 improvements. The applicant is compulsorily depriving the respondent of his property contrary to s 71 of the Constitution.”~~

~~I will deal with these grounds in *seriatum*. The argument that the pending constitutional application in the Constitutional Court by the respondent has the effect of suspending the Supreme Court judgments is not only devoid of merit but also now unavailable to the respondent. The challenge under Constitutional Court of Zimbabwe 12/22 was dismissed. Respondent acknowledged this development but true to his character, he tried to down play its significance and effect. Since there is no pending case and no stay of execution of the Supreme Court judgment the respondent has no genuine and sincere defence to the applicant’s claim for eviction. The second and third grounds require an examination of legal principles governing the *rei vindicatio* action. Generally, the law requires that respondent raises a valid right to possess as against the owner.~~

~~In *Chetty v Naidoo* 1974 (3) SA 13 (A) at 20B-D it was held that:~~

~~“it is inherent in the nature of ownership that possession of the *res* should normally be with the owner, and it follows that no other person may withhold it from the owner unless he is vested with some right enforceable against the owner (eg a right of retention or a contractual right). The owner, in instituting a *rei vindicatio* need, therefore, do no more than allege and prove that he is the owner and that the defendant is holding the *res* the onus being on the defendant to allege and establish any right to continue to hold against the owner (c.f) *Jeena v Minister of Lands*, 1995 (2) SA 380 (AD) at pp 382E, 383). It appears to be immaterial whether in stating his claim, the owner dubs the defendant’s holding “unlawful” or “against his will” or leaves it unqualified. (*Krugersdorp Town Council v Fortuin*, 1956 (2) SA 335(T)”~~



—— See also *Jolly v Shannon & Anor* 1998 (1) ZLR 78 HC and *Stanbic Financial Zimbabwe Ltd v Chivhungwa* 1999 (1) ZLR 262 (HC).

—— The protection of an owner's right to vindicate his property was stated in *Mashave v Standard Bank of South Africa* 1998 (1)) ZLR 436(S) at 438 in the following words:

“the Roman Dutch Law protects the right of an owner to vindicate his property, and as a matter of policy favours him as against an innocent purchaser see for instance *Chetty v Naidoo* 1974 (3) SA (A) at 20A-C.”

—— As regards the fraud allegations I take the view that not only are they premised on obscure facts but also that even if they were substantial they would not grant the respondent the right to possess the property. Even Mr *Rangarirai* who appeared for the respondent could not explain fully how applicant is linked to the alleged fraud. All he could say is a third party by the name Chaza allegedly forged a power of attorney from the ‘owner’ of the property. In any event, the respondent must go by facts on record. There are no such details on record to substantiate the fraud allegations. To the extent that the criminal allegations do no amount to a right to possess the property, the respondent's defence is based on waffling and incoherent innuendos which do not suffice to prevent the applicant from recovering possession.

From the opposing affidavit to the heads of argument the respondent's defences are more of pleas for mercy than defences to the *rei vindicatio*. It has been said that the court should pay no regard to such rants. In *Alspite Investments (Pvt) Ltd v Westerhoff* 2009 92) ZLR 236 it was held that;

“there are no equities in the application of the *rei vindicatio*. Thus, in applying the principle, the court may not accept and grant pleas of mercy or for extension of possession of the property by the defendant against an owner for the convenience or comfort of the possessor once it is accepted that the plaintiff is the owner of the property and does not consent to the defendant holding it. It is a rule or principle of the law that admits no discretion on the party of the court. It is a legal principle heavily weighted in favour of property owners against the world at large and is used to ruthlessly protect ownership.”

Therefore no equitable considerations should be put in the scales. In an attempt to justify his claim to ownership of the property, the respondent alleged that he was an innocent purchaser of the property. Clearly, this is unavailing for the simple reason that the Supreme Court in *Barriade Investments (Pvt) Ltd v Chiutsi & Ors* SC 24/22 held that:



~~“The court *a quo* therefore erred in finding that the second respondent was an innocent purchaser who had no knowledge of any irregularities attaching to the purchase and registration of the property into his name.”~~

~~The second respondent referred to above is the respondent *in casu*.~~

~~In a futile attempt to rope in s 71 of the Constitution of Zimbabwe, it was argued on respondent’ behalf that failure to compensate him for the “massive improvements” amounts to compulsorily depriving the respondent of his property contrary to s 71 of the Constitution. This argument has no merit in that, on the evidence, any improvements made were actions done in violation of the order by CHAREWA J.~~

~~In *Cecil Enterprises v Sithole* SC 87/10, it was held that:~~

~~“There is cogent authority to the effect that where the transfer of property is done in defiance of an order of court the transferee obtains defective title thereto. In *Gong v Mayor Logistics (Pvt) Ltd* SC 2/17, the court state as follows at pp 6-7;~~

~~“At this juncture, it does not seem to matter to me whether or not the applicant was the first purchaser as he alleges. What is material at this stage is that he obtained defective invalid title in defiance of a valid court order and caveat. It is an established principle of our law that anything done contrary to the law is a nullity. For that reason, no fault can be ascribed to the learned judge’s finding in the court *a quo* that the conduct of the appellant and his lawyer in obtaining registration of the disputed property in the face of a court order and caveat to the contrary was reprehensible. On the basis of such finding the appeal can only fail.”~~

~~The respondent’s claim for improvements is based on a nullity. A nullity is an event that never happened in the eyes of the law. See *Mefoy v United Africa Company Ltd* 1961 (3) ALL ER 1169 wherein Lord Denning said;~~

~~“If an act is void, then it is in law a nullity. It is not only bad but incurably bad. There is no need for an order of the court for it to be set aside, it is automatically null and void without more ado although it is sometimes convenient to have a court declare it to be so. And every proceeding which is founded on it is also bad and incurably bad. You can not put something on nothing and expect it to stay there. It will collapse.”~~

~~It must be noted that applicant purchased this property in a Sheriff’s auction. It has been said that the courts should not lightly set aside sales in execution in terms of rules of this court. In *Makoni v CBZ Bank & Ors* HH 81/19, it was held that:~~



~~“it is regrettable that the institution of judicial sales in execution as a procedure available to a judgment creditor to recover what has been awarded to him or her by a court of law and as an institution by which bona fide purchases of the property and indeed investors in real estates acquire property is fast losing its lustre and credibility as a result of debtors who presently appear unwilling to respect that process. What has gained currency at the moment is the undesirable habit by judgment debtors to do anything and everything to contest every sale in execution with whatever means possible which quite often are thin on substance but not lacking in noise and fury signifying absolutely nothing. There is therefore a pressing need if the institution of judicial sales is to be protected from extinction, that the courts should purposely discourage frivolous and vexatious contestation of these sales.....~~

~~Looking at this application in totality, it lends credence to the view that the institution of sales is under threat from debtors who have no respect both for their commitment’s to pay debts and the process of the law available to creditors to seek recourse from the courts. Quite often stubborn resistance to execution is pursued by defaulters for no tangible reason than to frustrate legitimate claims. It has been stated that courts of law should not lightly set aside sales in execution under r 359 as that may have a profound effect upon the efficacy of this type of sales, as would be purchasers would be deterred from attending and bidding if they consider that their efforts might be frustrated by an application like the present. See *Lalla v Bhira* 1973 RLR 28 (G). In my view, these unscrupulous defaulters’ should know that the courts will not come to their rescue for no apparent reason. They should simply service their debts or face the consequences of losing their homes.”~~

Disposition

~~In terms of the law, the respondent was required to raise a valid right to possess as against the owner. This he has failed to do and there is therefore nothing to prevent the applicant from recovering possession.~~

In the result, IT IS HEREBY ORDERED THAT:

- ~~1. The respondent and all his subtenants, assignees, invitees and all persons claiming occupation through him be and are hereby ordered to vacate the applicant’s property being THE REMAINDER of SUBDIVISION C, OF LOT 6, OF LOTS 190, 191, 193, 194 AND 195 HIGHLANDS ESTATE OF WELMOED also known as 41 RIDGEWAY NORTH, HARARE, immediately upon service of this order on the respondent.~~
- ~~2. In the event of the respondent failing to vacate as provided for in para 1 above, the Sheriff or his lawful Deputy be and is hereby authorized and empowered to evict the respondent and all persons claiming occupation through him from applicant’s premises, being THE REMAINDER of SUBDIVISION C, OF LOT 6, OF LOTS 190, 191, 193, 194 AND 195 HIGHLANDS ESTATE OF WELMOED also known as 41 RIDGEWAY NORTH, HARARE.~~

- ~~3. The respondent shall pay costs of suit on a scale as between Legal Practitioner and Client.~~
- ~~4. This order shall remain operational notwithstanding any appeal that may be filed by the respondent.~~

~~Gill, Godlonton & Gerrans, applicant's legal practitioners~~

~~Rangarirai & Company Legal Practitioners, respondent's legal practitioners~~